APEX TERMINAL | EQUITY RESEARCH

GAPCO | BUY | 12M outlook

GAPCO | GAPCO Demonstration Co. | Consumer Discretionary | Specialty Retail

US listing (NASDAQ / NYSE) | USD | 12M outlook | report date 2026-10-26

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DEMO - SYNTHETIC DATA - NOT FOR INVESTMENT USE

Every financial figure in this report is generated by the local deterministic engine from a synthetic fixture. These are not company-reported financials, not audited disclosures, and must not be read as a description of any real company or used for investment decisions.

Investment Summary

RATING	TARGET (12M)	IMPLIED UPSIDE	LAST PRICE
BUY	27.93 USD	+24.7%	22.40 USD

BUY | 12M | target 27.93 USD vs last close 22.40 USD (24.7% upside)

GAPCO Demonstration Co. (GAPCO, NASDAQ / NYSE) last closed at 22.40 USD, inside a 52-week range of 14.20-n/a. Our 12M view is BUY with a target of 27.93 USD, which screens reasonably valued on our base case. The base case compounds revenue from 820.00M USD (last reported) to 1.32B USD over 5 forecast years - a 10.0% CAGR - with the EBITDA margin moving from 36.7% in the first forecast year to 36.7% in the final year. Final-year free cash flow of 257.67M USD equals 53.2% of EBITDA and a 19.5% free-cash-flow margin. Discounting the forecast free cash flow at a 8.50% WACC with 2.5% terminal growth produces an enterprise value of 3.99B USD and equity value of 4.19B USD. The terminal value contributes 73.4% of enterprise value, so long-run assumptions dominate the estimate. At the current market price the implied WACC is 10.13%, i.e. the market discounts our cash flows more steeply than our stated cost of capital.

Company & Industry

Market cap	3.36B USD
Employees	4,200
Last close	22.40 USD
52-week range	14.20 - n/a
Last reported period	2024-12-31

Business overview

Sparse demonstration fixture: only two annual income periods, no cash-flow statement and a partially blank price summary. Every figure in this profile is generated deterministically in this browser for GAPCO.

GAPCO Demonstration Co. operates in Consumer Discretionary / Specialty Retail on the NASDAQ / NYSE listing, with a market capitalisation of 3.36B USD and approximately 4,200 employees. Sparse demonstration fixture: only two annual income periods, no cash-flow statement and a partially blank price summary. Every figure in this profile is generated deterministically in this browser for GAPCO. Company identity and financials in this build come from the local synthetic fixture and must not be read as company-reported data.

Industry context

Volume-vers-price decomposition and market-share data are not available; mix and pricing commentary is limited to margin movements in reported figures. Sector-specific metrics a professional consumer discretionary note would track: Revenue growth (available); Gross margin (pricing / mix) (available); Working-capital intensity (available); Volume vs price decomposition (unavailable - not disclosed in the dataset); Brand / market-share data (unavailable - not disclosed

in the dataset).

Sector metrics a professional note would track

- Revenue growth: available
- Gross margin (pricing / mix): available
- Working-capital intensity: available
- Volume vs price decomposition: unavailable - not disclosed in the dataset
- Brand / market-share data: unavailable - not disclosed in the dataset

Financial Statements - Reported History

Income statement

Period	Revenue	Gross profit	Operating income	EBITDA	Net income	EPS
2024	820.00M	360.00M	120.00M	150.00M	91.00M	-
2023	780.00M	330.00M	100.00M	126.00M	76.00M	1.81

Source: All figures in USD. Synthetic local fixture.

Balance sheet

Period	Total assets	Cash	Total debt	Equity	Net debt
2024	7.50B	1.20B	1.00B	5.00B	-200.00M
2023	6.80B	1.00B	900.00M	4.55B	-100.00M

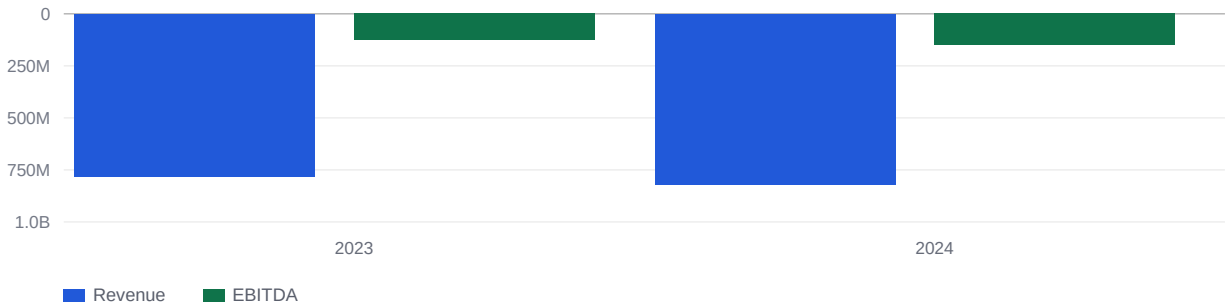
Source: All figures in USD. Synthetic local fixture.

> **Cash-flow statement unavailable**
>
> The dataset carries no cash-flow statement for this company. Historical free cash flow, operating cash flow and capex are reported as null and are never estimated.

Key ratios

Period	Rev growth	Gross margin	Op margin	Net margin	ROIC	FCF
2024	5.1%	43.9%	14.6%	11.1%	2.0%	-
2023	-	42.3%	12.8%	9.7%	1.8%	-

Source: Derived from reported statements. Nulls preserved where data is missing.



Source: Reported revenue and EBITDA (USD).

Base-Case Forecast

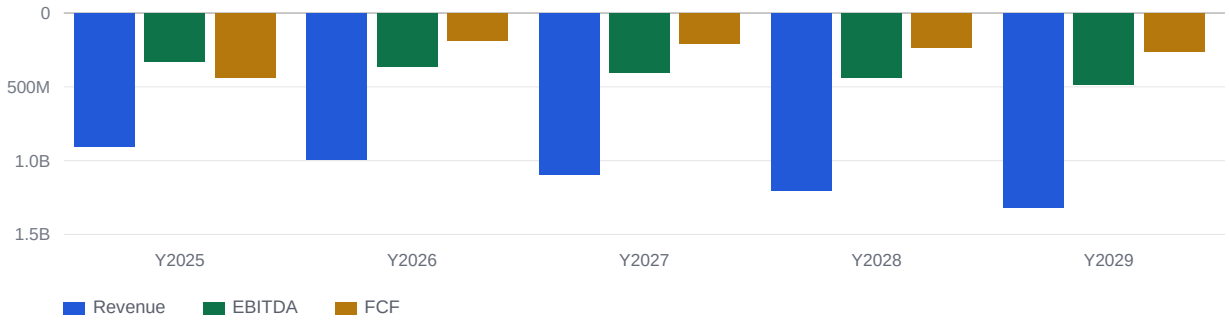
Year	Revenue	EBITDA	EBIT	Net income	FCF	Shares
Y2025	902.00M	330.76M	270.60M	183.12M	438.11M	150.00M
Y2026	992.20M	363.84M	297.66M	204.77M	185.29M	150.00M
Y2027	1.09B	400.22M	327.43M	228.58M	207.16M	150.00M
Y2028	1.20B	440.25M	360.17M	254.77M	231.21M	150.00M
Y2029	1.32B	484.27M	396.19M	283.59M	257.67M	150.00M

Source: Forecast figures in USD. Deterministic model output.

Revenue CAGR	10.0%
Final revenue	1.32B USD
Final EBITDA	484.27M USD
Final free cash flow	257.67M USD
Balance-sheet identity	Balanced in every year

Forecast drivers (documented assumptions)

Revenue Growth	10.00%
Gross Margin	63.33%
Opex Ratio	33.33%
Tax Rate	20.00%
Da Pct	6.67%
Capex Pct	8.33%
Nwc Pct	3.33%
Interest Rate	4.17%
Dividend Payout	30.00%
Excess Cash Sweep	0.00%
Share Dilution	0.00%



Source: Forecast revenue, EBITDA and free cash flow (USD).

Valuation - Discounted Cash Flow

WACC build-up (CAPM, documented defaults)

Risk-free rate	4.00%
Equity beta	1.00
Market risk premium	5.50%
Cost of equity (Rf + beta x MRP)	9.50%
Pre-tax cost of debt	6.00%
Tax rate	25.00%
After-tax cost of debt	4.50%
Equity / debt weight	70% / 30%
WACC applied	8.50%

Free cash flows and discounting

Year	Free cash flow	Discount factor	Present value
Y1	438.11M	0.9217	403.79M
Y2	185.29M	0.8495	157.40M
Y3	207.16M	0.7829	162.19M
Y4	231.21M	0.7216	166.84M
Y5	257.67M	0.6650	171.36M

Enterprise-to-equity bridge

PV of explicit cash flows	1.06B USD

PV of terminal value	2.93B USD
Terminal value share of EV	73.4%
Enterprise value	3.99B USD
Net cash	200.00M USD
Equity value	4.19B USD
Shares outstanding	150.00M
Value per share	27.93 USD
Implied exit multiple on final EBITDA	8.2x
Implied upside vs last price	24.7%

Sensitivity - WACC vs terminal growth

WACC	1.5%	2.0%	2.5%	3.0%	3.5%
6.5%	34.21	37.18	40.89	45.66	52.02
7.5%	28.82	30.77	33.11	35.97	39.54
8.5%	24.98	26.34	27.93	29.80	32.06
9.5%	22.09	23.09	24.22	25.54	27.07
10.5%	19.85	20.60	21.45	22.41	23.51

Source: Value per share (USD). Sensitivity maps model response to assumptions; it does not remove uncertainty.

Reverse DCF at the current market price

At a market price of 22.40 USD the implied WACC is 10.13%, versus our stated 8.50%. The market discounts these cash flows more steeply than our cost of capital.

Scenario analysis

Bull: Bull case: target of 32.12 USD (+15% versus base) if revenue growth runs ahead of the 10.0% path and the terminal margin holds at 36.7%.

Base: Base case: target of 27.93 USD on 10.0% revenue CAGR, 8.50% WACC and the stated terminal assumption.

Bear: Bear case: target of 23.74 USD (-15% versus base) if growth decelerates and the discount rate widens by 100 basis points.

Risks & Catalysts

Strengths

- Revenue compounding of 10.0% CAGR on the base case, with EBITDA margin at 36.7% by the final forecast year.
- Cash generation: 53.2% of final-year EBITDA converts to free cash flow (257.67M USD), self-funding reinvestment or capital returns.
- Net cash of 200.00M USD provides balance-sheet flexibility through the cycle.
- The three-statement forecast passes its balance-sheet identity check in every projected year.

Risks

Terminal-value dependence

Exposure: The present value of the terminal value is 73.4% of enterprise value.

Impact: Small changes to the discount rate or long-run growth swing the target materially.

Monitoring metric: WACC and terminal-growth assumptions versus the sensitivity grid

Scenario: Value per share across the sensitivity grid ranges 19.85-52.02.

Basis: fact

Growth execution

Exposure: The base case assumes 10.0% revenue CAGR.

Impact: A deceleration compresses both the cash-flow base and the applied multiple.

Monitoring metric: Reported revenue growth versus the forecast path

Scenario: Bear case assumes growth runs below plan (see scenarios).

Basis: inference

Synthetic data provenance

Exposure: All financial inputs come from the local deterministic fixture, not company filings.

Impact: No conclusion in this report should be relied upon as a description of any real company.

Monitoring metric: Data-status label on the cover of this report

Basis: fact

Missing sector-specific evidence

Exposure: Volume vs price decomposition, Brand / market-share data are not available in the dataset.

Impact: Sector-specific failure modes cannot be quantified.

Monitoring metric: Disclosure of unavailable metrics in the industry section

Basis: fact

Catalysts

Revenue upside versus plan

Event: Reported revenue tracking above the 10.0% base-case path

Timing: Next reported annual period; exact timing is unknown

Grounding: Each point of revenue upside converts at the 36.7% terminal-year EBITDA margin.

Capital returns from net cash

Event: Buyback, special dividend or step-up in recurring distributions

Timing: Timing unknown; requires board action

Grounding: Net cash of 200.00M USD on the latest balance sheet would fund returns without new leverage.

Multiple re-rating

Event: Market multiple moving toward the model-implied 8.2x exit level

Timing: Timing unknown

Grounding: The DCF embeds a 8.2x exit multiple on final-year EBITDA of 484.27M USD.

Model Quality & Integrity Review

Conviction: LOW

Conviction is constrained by limited history, synthetic data, missing sector evidence.

Data status: SYNTHETIC - deterministic local fixture. Figures are not company-reported. Reported coverage is limited to 2 annual periods (2024); a multi-year trend cannot be established. Sector metrics unavailable: Volume vs price decomposition, Brand / market-share data. Balance-sheet identity holds in every projected year - necessary but not sufficient for economic correctness. Principal assumptions: revenue growth 10.00%; gross margin 63.33%; opex ratio 33.33%; tax rate 20.00%; da pct 6.67%; capex pct 8.33%.

Automated checks

Balance-sheet identity	Pass
DCF produced a value	Yes
Valuation warnings	0
Integrity errors (blocking)	0
Integrity warnings	3

Validation detail

[WARN] history.short: Only 2 annual period(s) available; multi-year trend tables are limited.

[WARN] data.stale: Latest reported period is ~22 months old; estimates may be stale.

[WARN] data.synthetic: Figures come from the deterministic local fixture (synthetic demonstration data).

Sources & Methodology

Data sources (numbered)

#	Metric	Value	Period	Status	Source
1	Revenue	820,000,000	2024-12-31	synthetic	APEX local deterministic fix
2	Revenue growth	0.05	2024-12-31	derived	APEX local deterministic fix
3	Gross margin	0.44	2024-12-31	derived	APEX local deterministic fix

#	Metric	Value	Period	Status	Source
4	Operating margin	0.15	2024-12-31	derived	APEX local deterministic fix
5	Net income	91,000,000	2024-12-31	synthetic	APEX local deterministic fix
6	EBITDA	150,000,000	2024-12-31	synthetic	APEX local deterministic fix
7	Free cash flow	n/a	2024-12-31	synthetic	APEX local deterministic fix
8	Net debt	-200,000,000	2024-12-31	derived	APEX local deterministic fix
9	Diluted EPS	n/a	2024-12-31	synthetic	APEX local deterministic fix
10	Shares outstanding	150,000,000	2024-12-31	synthetic	APEX local deterministic fix
11	Assumption: revenue growth	0.1	forecast horizon	assumption	User / engine default (docum
12	Assumption: gross margin	0.6333	forecast horizon	assumption	User / engine default (docum
13	Assumption: opex ratio	0.3333	forecast horizon	assumption	User / engine default (docum
14	Assumption: tax rate	0.2	forecast horizon	assumption	User / engine default (docum
15	Assumption: da pct	0.0667	forecast horizon	assumption	User / engine default (docum
16	Assumption: capex pct	0.0833	forecast horizon	assumption	User / engine default (docum
17	Assumption: nwc pct	0.0333	forecast horizon	assumption	User / engine default (docum
18	Assumption: interest rate	0.0417	forecast horizon	assumption	User / engine default (docum
19	Assumption: dividend payout	0.3	forecast horizon	assumption	User / engine default (docum
20	Assumption: excess cash sweep	0	forecast horizon	assumption	User / engine default (docum
21	Assumption: share dilution	0	forecast horizon	assumption	User / engine default (docum
22	DCF value per share	27.93	valuation date	derived	APEX local deterministic fix
23	WACC	0.09	valuation date	assumption	APEX local deterministic fix
24	Enterprise value	3,988,989,165.2	valuation date	derived	APEX local deterministic fix

Methodology

Forecast: a deterministic three-statement model driven by the documented assumptions in the forecast section. Valuation: unlevered free cash flows discounted at a CAPM-built WACC, with a Gordon-growth or exit-multiple terminal value. Rating: a mechanical band on model upside (BUY >= +10%, HOLD within ?10%, SELL below -10%), withheld entirely when integrity gates fail. Every figure is a model output; the deterministic engine writes the narrative from those outputs and never invents numbers.

Peer set — None supplied (comparables omitted)

Conclusion

On the evidence supplied we are constructive. The thesis would be strengthened by revenue tracking at or above 10.0%, cash conversion holding near 53.2% of EBITDA, ROIC sustained above 2.0%; it would be weakened by rising terminal-value dependence, continued absence of sector-specific disclosure, reliance on synthetic demonstration data. Material unresolved questions are those listed as unavailable in the industry and model-quality sections; they are disclosed rather than estimated.

Investment thesis

Consumer Discretionary exposure with 10.0% modelled revenue growth, 36.7% terminal-year EBITDA margin and 53.2% EBITDA-to-FCF conversion. The balance sheet carries 200.00M USD of net cash (1.33x last reported EBITDA). The mechanical rating is BUY; the conviction basis is described below.

Thesis drivers

- Growth: revenue CAGR of 10.0% from 820.00M USD to 1.32B USD across the forecast horizon.
- Margins: EBITDA margin of 36.7% rising to 36.7%, consistent with operating leverage on the modelled cost base.
- Cash conversion: final-year free cash flow of 257.67M USD, 53.2% of EBITDA.
- Balance sheet: net cash of 200.00M USD at 1.33x EBITDA limits financial risk premium.
- Valuation: DCF value of 27.93 USD per share versus a 22.40 USD market price (24.7% upside).

Disclaimer

This report was produced by the APEX deterministic research engine running locally. All figures are model outputs derived from the stated inputs; they are not audited company disclosures and no investment advice is intended or implied.